C, above his stop (which was placed a nickel below point B), before rebounding.

“I like to use trendlines as sell signals.” He drew a trendline from A to B and extended it upward (not shown). “Steep trends are short-lived, but the angle the stock was making didn't worry me.” He redrew the trendline (shown) as price climbed.

For fun, he computed the price target for the scallop, and it turned out to be 5.95. Price climbed through the target, pausing around 5, a round number and a common support and resistance zone, but eventually pushed through it.

Price kept bumping against the trendline without piercing it until early June. “Then it tumbled through the trendline with meaning. Combined with high volume a few days earlier, it was time to pull the ripcord.” He sold the following day (point D).

Robert bought at 4.90 and sold at 6.50 for a gain of 33% in about 5 months. From that point it took over a year for price to make a new high.